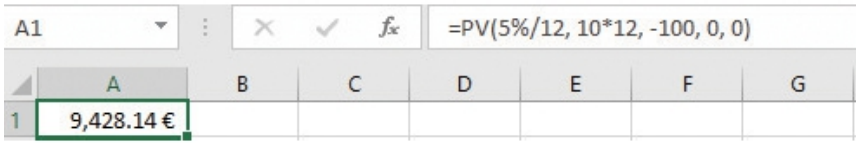
The correct syntax for the formula is as follows:

=PV(rate; nper; pmt; [fv]; [type])

The "*rate*" argument stands for the interest rate per period and "*nper*" argument indicates the total number of periods. The "*pmt*" argument indicates the payment made each period: if payments are made at the end of each period, the value should be negative; if they occur at the beginning of each period, the "*type*" argument should be set to 1.
The "*Fv*" argument is optional and stands for the future value of the investment or loan. If omitted, the function assumes a future value of 0. The "*type*" argument is also optional and can be specified to indicate the payment due date. If omitted, the function presumes that payments are due at the end of each period (0). If payments are due at the beginning of each period, the argument should be set to 1.
For instance, to compute the present value of a 10,000 euro investment with an annual interest rate of 5% over 10 years, you can use the following function:

=PV(5%/12; 10*12; -100; 0; 0)



The "5%/12" argument converts the annual interest rate to a monthly rate, and the "10*12" argument stands for the total number of monthly periods in 10 years.
The "-100" argument, however, indicates that a payment of 100 is made each month. The last two arguments, "0", indicate that there is no future value, and payments are due at the end of each period.
The outcome of this formula is -9,428.14 €, which represents the present value of investing 10,000 € after 10 years at an annual interest rate of 5%, with monthly payments of 100 €. The result is negative because it denotes the amount that must be invested now to achieve the desired future value.

- **PMT Function**
  The PMT function is a financial function used to determine the